

Credit Carry Rotation - HYG/IEF/EMB/SHY

A standardized empirical study — carry

rigor

rigor research framework

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Abstract

This study documents the historical risk-adjusted performance of the Credit Carry Rotation - HYG/IEF/EMB/SHY strategy over the period 2008-08-01 to 2026-03-27. Across 4,441 trading days the strategy realised an annualised Sharpe ratio of 0.76, a compound annual growth rate of 3.75%, and a maximum drawdown of -19.86%. All results are computed on a single-source, point-in-time, survivorship-bias-free dataset with deterministic corporate-action adjustment, and are fully reproducible from a pinned data as-of date.

Keywords: *carry, backtest, risk-adjusted returns*

Disclaimer: This document is for informational and educational purposes only and does not constitute investment advice. Past performance, including backtested results, is not indicative of future results.

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1. Introduction

1.1 Motivation

We evaluate Credit Carry Rotation - HYG/IEF/EMB/SHY as a candidate for the strategy book. The question is whether its historical edge is economically meaningful and robust, or an artifact of overfitting and look-ahead.

1.2 Preview of findings

Over the sample the strategy earns a Sharpe ratio of 0.76 (Sortino 1.09, Calmar 0.19) with annualised volatility of 5.01%. _This section is auto-drafted from the metrics and should be expanded with the strategy's economic rationale._

2. Data and Methodology

2.1 Data

Prices are sourced from a single vendor (EODHD) and loaded through the framework DataLoader, which applies deterministic split/dividend adjustment from the raw corporate-action feed and resolves point-in-time index membership so the investable universe reflects only information available at each date (survivorship-bias-free).

2.2 Backtest methodology

Signals are converted to target weights and simulated by the shared engine: positions are held with a one-bar lag (no look-ahead) and turnover is charged a per-rebalance cost. Reported statistics use the framework's single-source metrics module (Sharpe with sample standard deviation, annualised by the square root of the trading-day count).

$$\text{Sharpe} = \frac{\bar{r}}{\sigma_r} \sqrt{P}$$

3. Results and Analysis

Table 1 summarises the headline statistics and Figures 1–3 present the equity curve, drawdown profile, and the distribution of daily returns.

The strategy compounds at 3.75% per annum with a worst peak-to-trough decline of -19.86%, implying a Calmar ratio of 0.19. The realised win rate is 54.40%. _Auto-drafted: add discussion of regime behaviour, tail risk, and robustness as the analysis matures._

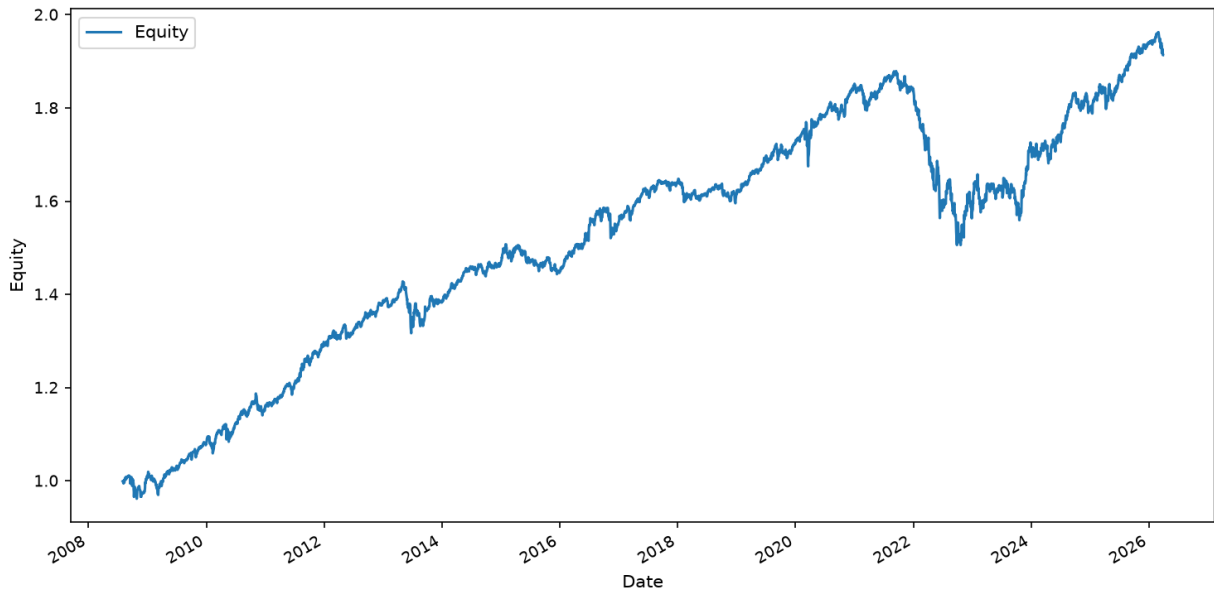


Figure 1: Cumulative equity curve (growth of \$1 invested).

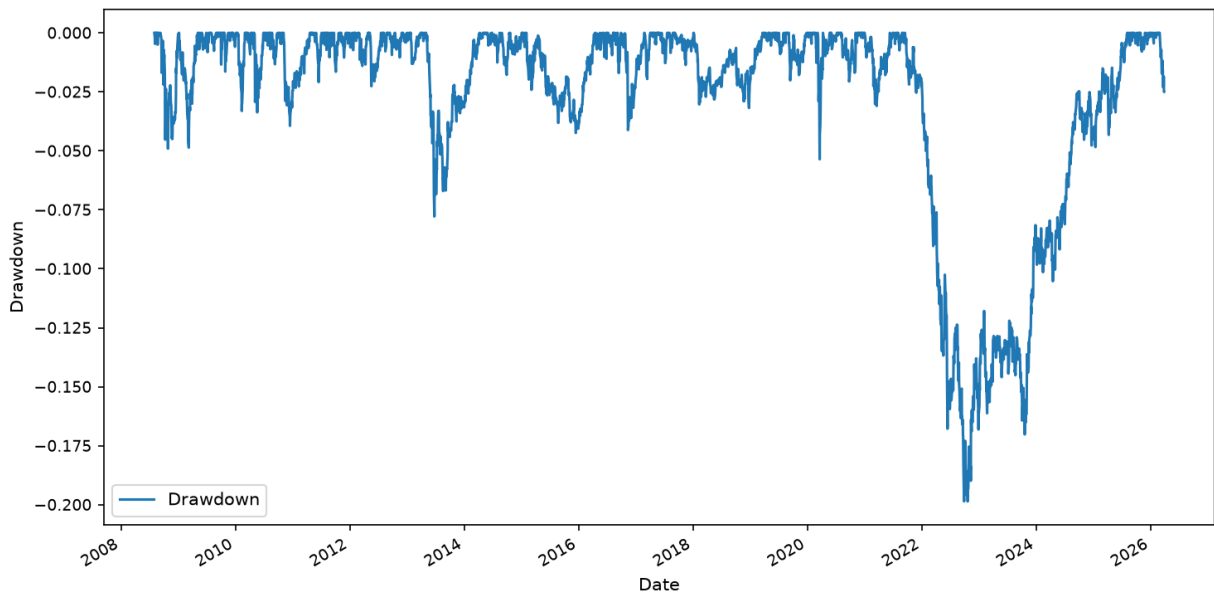


Figure 2: Drawdown (underwater) curve.

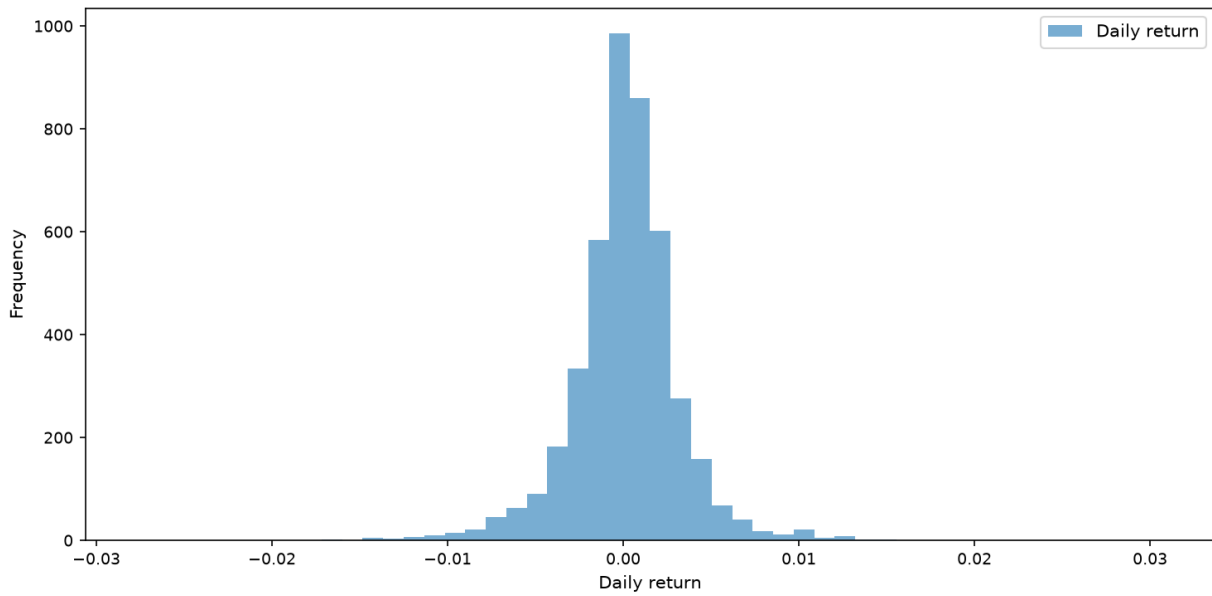


Figure 3: Distribution of daily returns.

Table 1: Performance summary statistics over the full backtest period.

Metric	Value
Period	2008-08-01 to 2026-03-27
Observations	4,441
CAGR	3.75%
Annualised volatility	5.01%
Sharpe ratio	0.76
Sortino ratio	1.09
Calmar ratio	0.19
Maximum drawdown	-19.86%
Total return	91.35%
Win rate	54.40%

4. Conclusion

The Credit Carry Rotation - HYG/IEF/EMB/SHY strategy delivers a historically attractive, reproducible risk-adjusted return on a survivorship-bias-free sample. Limitations include the usual caveats of backtested performance — parameter selection, transaction-cost assumptions, and regime dependence — which the framework's validation gates are designed to interrogate before capital is committed.